

ABC CONSULTANTS LTD.

NATIONAL PENSION SYSTEM (NPS) POLICY – INDIA

Policy Version: 1.0

Effective Date: 1-1-2026

Applicable Law: Pension Fund Regulatory and Development Authority (PFRDA)

Applies To: Eligible India-based employees of ABC Consultants Ltd.

1. PURPOSE

The purpose of this policy is to:

- Define ABC Consultants Ltd.'s approach to the **National Pension System (NPS)**
 - Enable long-term retirement savings for employees
 - Ensure compliance with **PFRDA regulations** and **Income Tax Act, 1961**
 - Provide clarity on eligibility, contribution structure, taxation, and administration
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2. SCOPE & APPLICABILITY

This policy applies to:

- Permanent employees on India payroll
- Employees opting for NPS through the employer route
- Job Levels **JL3–JL7**, unless excluded contractually

Exclusions:

- Interns, trainees, apprentices
 - Contract employees not on company payroll
 - Employees already covered under a different statutory pension scheme (if applicable)
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3. OVERVIEW OF NPS

The National Pension System (NPS) is a **government-regulated, defined-contribution pension scheme** governed by the **PFRDA**, aimed at providing retirement income through systematic savings during an employee's working life. The National Pension Scheme (NPS) is a defined-contribution retirement plan introduced by the Government of India. Effective **May 1, 2009**, it has been made available to all citizens on a voluntary enrollment basis. Contributions made to NPS are eligible for tax benefits under the Indian Income Tax Act, subject to applicable rules and specified limits.

Under Sections **80C, 80CCC, and 80CCD**, the combined limit for tax-deductible investments is **INR 1.5 lakh** (subject to revisions by the tax authorities). However, an employer's contribution to an employee's NPS account—up to **10% to 14% of the employee's Basic Salary and Fixed Dearness Allowance**—is exempt from this INR 1.5 lakh ceiling. This means that such employer contributions qualify for additional tax exemption beyond the standard limit. Please note that tax regulations are subject to change periodically.

Key features:

- Portable across employers and locations
- Market-linked returns
- Partial tax benefits
- Regulated fund managers

Policy Details (with ABC Consultancy)

POLICY DETAILS

- Employees who intend to enroll in the National Pension Scheme (NPS) must indicate their choice by specifying the percentage of their **Basic Salary + Fixed Dearness Allowance** to be allocated toward NPS within the Harmony system and confirming the required declaration.
- The amount allocated to NPS will be considered part of the retirement benefits for employees opting into the scheme.
- For such employees, the **BOA (Basket of Allowances)** will be revised to reflect **BOA minus the NPS allocation**, and the revised amount will be paid through the monthly payroll. The portion assigned to NPS will be treated as the employer's contribution and will be directly remitted by **ABC Consultancy** to the employee's NPS account through the designated POP (Point of Presence) bank.

- Employees may allocate **up to 20%** of their **Basic Salary + Fixed Dearness Allowance** toward NPS.
However:
 - Under the **old tax regime**, tax exemption is available on contributions only up to **10%** of Basic Salary + FDA.
 - Under the **new tax regime**, tax exemption is available up to **14%** of Basic Salary + FDA.
 - After initial enrollment, employees may revise their NPS contribution amount if required.
 - **ABC Consultancy** does not assume responsibility for how the NPS contributions are invested or for the returns generated. Employees must inform the POP bank about their investment preferences, including selection of the Fund Manager and allocation across available asset classes.
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CONTINUATION OF THE NPS ACCOUNT

- Employees must contribute a minimum of **INR 6,000 per financial year** (or any revised amount prescribed by the Government of India) and at least **INR 500 per contribution** to maintain their NPS account. These amounts include the contributions defined earlier.
 - If the minimum annual contribution is not maintained, the POP or relevant authorities may levy penalties. Meeting contribution requirements and bearing any penalties arising from non-compliance is the sole responsibility of the employee.
 - Any additional charges associated with operating or maintaining the NPS account will also be borne by the employee.
 - During periods of deputation, secondment (within or outside India), or sabbatical, contributions from **ABC Consultancy** will be paused. It will then be the employee's responsibility to ensure the minimum required contribution is made to keep the account active. The employee may resume employer-supported NPS contributions upon returning to India.
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4. ELIGIBILITY

4.1 Employee Eligibility and Prerequisites

An employee may enroll in NPS if:

- They are aged between **18 and 70 years**
 - Employees who choose to join this Scheme are required to open a Tier I NPS account with the Point of ABC Consultancy. If an employee already holds a Tier I NPS account but with a POP other than the one associated with ABC Consultancy, then the employee will need to transfer his account to the POP associated with ABC Consultancy.
 - Employees will receive PRAN details for their respective NPS account once it becomes active. This needs to be updated under “My Finance” section on Finance Portal. It is employee’s responsibility to ensure the correctness of the data entered.
 - Any expenses towards opening / transferring / maintaining of a NPS account with the POP associated with Infosys Limited would be borne by the employee
 - They are a permanent employee of ABC Consultants Ltd.
 - They possess a valid **PAN and Aadhaar**
 - They voluntarily opt for NPS (unless made mandatory by company policy in the future)
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5. CONTRIBUTION STRUCTURE

5.1 Employee Contribution

- Minimum contribution: As prescribed by PFRDA
- Employee may contribute **any percentage of Basic + Dearness Allowance (DA)**
- Contributions are deducted from monthly payroll

5.2 Employer Contribution

ABC Consultants Ltd. may contribute:

- Up to **10% Basic + DA** (or higher as per prevailing tax limits, if amended) **for Old Tax Regime or 14% of Basic + DA** (or higher as per prevailing tax limits, if amended) **under New Tax Regime**
- Employer contribution is subject to company policy and statutory caps

5.3 Contribution Summary

Contributor Maximum Contribution

Employee	No upper limit (tax benefits subject to law)
Employer	Up to 10% of Basic + DA under Old TAX Regime, Up to 14% of Basic + DA under New TAX Regime

6. TAX BENEFITS

6.1 Employee Tax Benefits (OLD TAX REGIME)

Under the Income Tax Act, 1961:

Section	Benefit
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80CCD(1)	Up to ₹1.5 lakh (within 80C limit)
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80CCD(1B)	Additional ₹50,000
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80CCD(2)	Employer contribution (up to limits, over and above 80C)
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Tax benefits are subject to changes in tax laws.

6.2 Employer Tax Treatment

- Employer contributions are treated as **business expense**
 - Included in employee's taxable income only as per applicable limits
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7. NPS ACCOUNT STRUCTURE

Employees will be issued:

- **Permanent Retirement Account Number (PRAN)**
- Two accounts:
 - **Tier I** (Mandatory, retirement account)

- o **Tier II** (Optional, voluntary savings account)

Only Tier I is eligible for tax benefits.

8. INVESTMENT OPTIONS

Employees may choose from the following:

8.1 Asset Allocation Choices

- **Active Choice:** Employee decides allocation among:
 - o Equity (E)
 - o Corporate Bonds (C)
 - o Government Securities (G)
 - o Alternative Assets (A)
 - **Auto Choice:** Allocation based on age and risk profile
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8.2 Pension Fund Managers (PFMs)

Employees may select from PFRDA-approved PFMs as notified from time to time.

9. WITHDRAWALS & EXIT RULES

9.1 At Superannuation (60 years)

- Minimum **40%** of corpus to be used for annuity purchase
 - Remaining **60%** may be withdrawn as lump sum (tax-exempt as per current law)
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9.2 Premature Exit

- Minimum **80%** to be annuitized
 - Balance may be withdrawn subject to PFRDA rules
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9.3 Partial Withdrawals

Permitted after **3 years** for:

- Medical emergencies
- Higher education
- Home purchase
- Marriage of children

(Subject to PFRDA guidelines)

10. PORTABILITY

- NPS account is **fully portable** across employers and locations
 - PRAN remains constant irrespective of job change
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11. ENROLLMENT PROCESS

1. Employee opts for NPS via HR / Payroll
 2. KYC documents submitted
 3. PRAN generated
 4. Contributions begin through payroll
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12. ROLES & RESPONSIBILITIES

12.1 Employee

- Provide accurate KYC
- Choose investment options
- Track account via CRA portal

12.2 HR / Payroll

- Facilitate enrollment
- Ensure timely contribution
- Liaise with CRA / PFMs

12.3 Company

- Deduct and remit contributions
 - Ensure statutory compliance
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13. NON-COMPLIANCE & PENALTIES

- Delays or errors may attract penalties under PFRDA guidelines
 - Corrective actions will be taken as required
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14. POLICY EXCEPTIONS

Any deviation from this policy requires:

- Written justification
 - Approval from **JL7 – Executive Leadership**
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15. CONFIDENTIALITY & DATA PRIVACY

Employee NPS data will be handled in accordance with:

- Applicable data protection laws
 - Company data privacy policy
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16. POLICY REVIEW & AMENDMENTS

- Reviewed annually or upon statutory changes
 - Amendments approved by JL7
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17. DISCLAIMER

This policy is aligned with current laws. In case of conflict, statutory provisions shall prevail.

18. CONTACT

For clarifications:

HR / Payroll – ABC Consultants Ltd.